

****Hearing of the President of the Data Protection Authority, Prof. Pasquale Stanzione, on Bill No. 1066 (Rules for the Development and Adoption of Artificial Intelligence Technologies)****
Senate of the Republic - 8th Commission (Environment, Ecological Transition, Energy, Public Works, Communications, Technological Innovation)
(22 April 2024)
- THE VIDEO OF THE HEARING

First of all, I would like to thank the Commission - and not in a formal manner - for wanting to include the perspective of data protection in the legislative process regarding the bill. This perspective is particularly important in relation to AI, especially since the General Data Protection Regulation, since 2016, has introduced the first regulation of AI and its foundational core: automated decision-making.

Article 22 of EU Regulation 2016/679 has indeed established specific guarantees on this point, such as the principle of intelligibility (which excludes the legitimacy of black-box algorithms by recognizing the right to receive meaningful information about the logic used), the principle of non-exclusivity of algorithmic decision-making which imposes a human intervention capable of controlling, validating, or refuting the automated decision, the prohibition of algorithmic discrimination, a general principle of transparency that imposes precise informational obligations towards the user, a criterion of quality and accuracy of the data to be used, particularly relevant to avoid biases inherent in training the algorithm based on inaccurate or insufficiently representative information.

The principles established by privacy regulation have thus already taken on a decisive value in regulating algorithmic processes, to the extent that they have allowed, for example, administrative jurisprudence to find the regulation of certain specific cases and, indeed, the Authority to align the use of AI with the values of the constitutional and European legal order. This explains not only why the AI Act is also based on Article 16 TFEU (the legal basis for data protection legislation) but, above all, why it borrows many legislative policy options from Regulation EU 2016/679: for example, the taxonomy of prohibitions and applicable rules, based on the level of risk of the systems, the impact assessment (here on fundamental rights) for high-risk applications, the principle of transparency as the cornerstone of the relationship between the use of technology and the self-determination of the individual, the enhanced guarantees for "sensitive" data (i.e., belonging to special categories), the system of rights, protections, and sanctions, and governance in its dual internal and supranational dimension.

The bill under examination anticipates some of the themes addressed by the AI Act, against which its compliance must therefore be assessed.

Therefore, it is necessary to invite a more general reflection on the appropriateness of regulating, with internal provisions, aspects already included in the AI Act and different from those of industrial and labor policy underlying Articles 2 and 3, on which the internal legislator retains full discretion. The following will analyze some specific contents of the bill.

From the perspective of data protection, the provisions of Articles 4, 5, and 6 are particularly relevant.

****Article 4****

The preliminary assessment to be carried out is the compliance of Article 4 with the complex requirements established by Articles 57 et seq. of the AI Act for sandboxes, considering, however, that its detailed contents are subject to executive acts of the Commission precisely to ensure, as stated in the introductory clause of Article 58, regulatory uniformity within the Union and not to frustrate, consequently, the needs for homogeneity underlying the very choice of regulatory form.

As for the merits of the regulation, compliance requirements with the AI Act would impose modulating the content of the report that the involved Authorities are required to prepare (paragraph 6) to that, broader, provided for by Article 57, paragraph 16, of the AI Act, thus strengthening transparency obligations.

Moreover, the financial invariance clause in paragraph 8 seems difficult to reconcile with the provisions of Article 57, paragraph 4, AI Act, as well as being the result of an underestimation of the administrative obligations related to the realization of the sandbox.

Furthermore, the content of the measures of the involved Authorities (paragraph 5, third sentence) should also include the regulation of the exercise of inhibitory powers in the cases referred to in paragraph 7, last sentence, to limit their discretion in guaranteeing citizens and businesses, as well as for compliance with the AI Act.

Some concerns are raised by the special regime of official secrecy referred to in the last two sentences of paragraph 5, characterized by a lack of determination as it is extended comprehensively to "activities, news, information, data (...) related to the experimentation." This, in fact, finds no correspondence either in the regulation of sandboxes contained in the AI Act (cf. Articles 57, paragraph 8 and 78) or in the internal regulation (Article 36 of Law Decree 76/20, referenced in derogatory terms regarding the duration of the experimentation) and seems difficult to reconcile with the principle of transparency expressed by the obligation to report established, in accordance with the AI Act, in paragraph 6.

Moreover, the non-opposability of the secrecy provided for in the last sentence appears excessively restricted, also in light of the need to ensure civil protection in accordance with the requirements expressed by Article 57, paragraph 12 of the AI Act. On the other hand, regarding the non-opposability of secrecy, the unchallengeability by the requested administration of the necessity assessment of the data for procedural purposes should be clarified, under penalty of a substantial violation of the provisions of Articles 101, paragraph II, and 104 of the Constitution. Therefore, the last two sentences of paragraph 5 should be deleted.

****Article 5****

Article 5 also addresses a topic, such as that of generative AI and the related transparency obligations, regulated by Articles 51 et seq. of the AI Act, including labeling (Article 50 AI Act). The overlap of the subject matter of the two regulations is such that it leads to the conclusion that internal legislators are precluded (or extremely limited) from autonomous regulation on this point.

****Article 6****

The provision introduces a specific regulation for the use of digital replicas, which presents significant points of intersection both with Article 50 of the AI Act and with the personal data protection regulation, at least concerning all cases (presumably not rare) in which the replica involves, even partially, personal data. In particular (but obviously not only), guarantee norms such as those in Article 2-terdecies of Legislative Decree 196 of 2003 regarding the post-mortem exercise of rights concerning processing and those sanctioning, administrative, and criminal, related among other things to the unlawful processing of personal data come into play. The relationship between these two regulations should therefore be governed through, at the very least, a safeguard clause in favor of data protection legislation. This would indeed help avoid possible interpretative doubts regarding the absorption by this provision—through exhaustion or unilateral specialty—of the data protection implications related to digital replicas.

The issue of coherence among the various regulatory frameworks is, moreover, a need that particularly characterizes the regulation of new technologies, often marked—amidst the law's pursuit of a constantly and too rapidly changing technique—by overlaps not only at the internal level, among norms of different sectors, but also at the supranational level, between domestic and European provisions. And since the regulation of the digital realm is a matter that significantly characterizes the legal policy of the European Union, the effort required of the internal legislator is one of constant comparison with European legislation, to identify the limits and options of their discretion.

This also applies to the announced government bill on AI, regarding which the Authority expresses its full willingness to engage in discussions that Parliament and the Government may request. This is also in consideration of the obligation to consult the Authority on this type of regulatory acts, explicitly established by Article 36, paragraph 4, of Regulation (EU) 2016/679.

Thank you.